

BLACK KNIGHT, INC.
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS - (Continued)

(18) Employee Stock Purchase Plan and 401(k) Plan

Employee Stock Purchase Plan ("ESPP")

Effective July 20, 2015, we adopted the Black Knight Financial Services, Inc. Employee Stock Purchase Plan (the "BKFS ESPP") that allows our eligible employees to voluntarily make after-tax contributions ranging from 3% to 15% of eligible earnings. We contribute varying matching amounts as specified in the BKFS ESPP document. On September 29, 2017, our Board of Directors approved, and BKI assumed the BKFS ESPP and renamed it the Black Knight, Inc. Employee Stock Purchase Plan (the "Black Knight ESPP"), which was amended and restated as of December 5, 2019. Effective January 1, 2020, a one-year holding period was implemented for contributions to the Black Knight ESPP. During the holding period, ESPP purchased shares are not eligible for sale or broker transfer. The other terms of the Black Knight ESPP, as amended, are substantially similar to the terms of the BKFS ESPP.

We recorded expense of \$8.0 million, \$7.8 million and \$6.0 million for the years ended December 31, 2019, 2018 and 2017, respectively, relating to the participation of our employees in the Black Knight ESPP and BKFS ESPP.

401(k) Profit Sharing Plan

Prior to the Distribution, our employees participated in a qualified 401(k) plan sponsored by FNF. Under the terms of the plan and subsequent amendments, eligible employees may contribute up to 40% of their pretax annual compensation, up to the amount allowed pursuant to the Internal Revenue Code ("IRC"). We generally match 37.5% of each dollar of employee contribution up to 6% of the employee's total eligible compensation. As a result of the Distribution, our employees no longer participate in this plan sponsored by FNF. Our indirect subsidiary, BKIS, adopted and established the Black Knight 401(k) Profit Sharing Plan (the "Black Knight 401(k) Plan"), effective September 29, 2017. The terms of the Black Knight 401(k) Plan are consistent with the terms of the 401(k) plan sponsored by FNF.

We recorded expense of \$6.5 million, \$6.3 million and \$5.8 million for the years ended December 31, 2019, 2018 and 2017, respectively, relating to the participation of our employees in the 401(k) plans.

(19) Income Taxes

Income tax expense (benefit) consists of the following (in millions):

	Year ended December 31,		
	2019	2018	2017
Current:			
Federal	\$ 39.5	\$ 35.0	\$ 10.4
State	9.7	9.4	5.3
Foreign	0.9	0.8	0.9
Total current	50.1	45.2	16.6
Deferred:			
Federal	(0.2)	(2.3)	(87.5)
State	(8.0)	(5.2)	9.1
Total deferred	(8.2)	(7.5)	(78.4)
Total income tax expense (benefit)	\$ 41.9	\$ 37.7	\$ (61.8)

On December 22, 2017, the Tax Reform Act was signed into law. Among other provisions, the Tax Reform Act reduced the federal statutory corporate income tax rate from 35% to 21%. During the fourth quarter of 2017, we recorded a one-time, non-cash net tax benefit of \$110.9 million related to the revaluation of our deferred income tax assets and liabilities as a result of the Tax Reform Act.